Q1 2023 Earnings Call

Company Participants

- Andy Hargreaves, Vice President of Finance and Investor Relations
- Ravi Inukonda, Chief Financial Officer
- Tony Xu, Chief Executive Officer

Other Participants

- Andrew Boone, Analyst, JMP Securities
- Bernie McTernan, Analyst, Needham and Company
- Brian Nowak, Analyst, Morgan Stanley
- Deepak Mathivanan, Analyst, Wolfe Research
- Eric Sheridan, Analyst, Goldman Sachs
- Ian Peterson, Analyst, Evercore
- John Colantuoni, Analyst, Jeffries
- Lloyd Walmsley, Analyst, UBS
- Michael McGovern, Analyst, Bank of America
- Michael Morton, Analyst, MoffetNathanson
- Rohit Kulkarni, Analyst, ROTH MKM
- Ron Josey, Analyst, Citi
- Unidentified Participant
- Youssef Squali, Analyst, Truist Securities

Presentation

Operator

Hello, my name is Jean-Louis. Welcome to the DoorDash Q1 2023 Earnings Call. All lines have been placed on mute to prevent any background noise. (Operator Instructions)

I will now turn the conference over to Andy Hargreaves. Please go ahead.

Andy Hargreaves {BIO 22556419 <GO>}

Thanks Jean-Louis. Good afternoon, everyone, and thanks for joining us for our first quarter 2023 earnings call. I'm very pleased to be joined today by Co-Founder, Chair and CEO, Tony Xu; and CFO, Ravi Inukonda.

We'll be making forward-looking statements during today's call, including our expectations for our business, financial position, operating performance, market guidance strategies, our investment approach, alignment with merchants and dashers and consumer spending environment. Forward-looking statements are subject to risks and uncertainties that could cause actual results to differ materially from those described. Many of these uncertainties are described in our SEC filings, including our Form 10-Ks and 10-Qs. You should not rely on our forward-looking statements as predictions of future events, we disclaim any obligation to update any forward-looking statements except as required by-law.

During this call, we will discuss certain non-GAAP financial measures. Information regarding our non-GAAP financial measures, including a reconciliation of the non-GAAP measures to the most directly comparable GAAP measures may be found in our letters to shareholders, which is available on our Investor Relations website. These non-GAAP measures should be considered in addition to our GAAP results and are not intended to be a substitute for our GAAP results.

Finally, this call is being audio webcasted on our IR website. A replay of the call will be available on our website shortly after the call ends.

Jean-Louis, I'll pass it back to you and we can take our first question.

Questions And Answers

Operator

(Operator Instructions). Your first question comes from the line of (Technical Difficulty). Please go ahead.

Q - Unidentified Participant

Hey, guys. Thanks for holding the call. I guess I had two questions. The cohort data for new verticals looks great. Just a clarification, so that shows subsequent purchase frequency just in grocery and convenience and these folks are also purchasing for restaurant as well, is that correct? And are we at a point where we can maybe put a flag in the ground and talk about how much GOV or how many users are in things like grocery and convenience?

And then the second question is, some of your peers have talked about linearity in the quarter getting little stronger exiting the quarter compared to January because of pandemic effects, is that also what you guys saw, just trying to reconcile that with the 2Q GOV guide? Thanks a lot.

A - Tony Xu {BIO 20536033 <GO>}

Hey, Ross. I'll -- it's Tony. I'll start with the first question and then I'll let Ravi chime in on the second question. So, I think your first question really was around the performance and the strength of the cohorts in our new categories. I mean the answer to your question is, yes. I mean, the retained -- the new cohorts are certainly stronger than previous cohorts, a lot of this has to do with improvements in product quality, so adding selection players like ALDI, we now serve 20 plus of the top grocers in the U.S. Number two, we're also improving the quality of the experience itself making sure that we are more accurate both in the filling up the cards, these -- the ability to perfect the substitution experience when the items that we shop for are not inside the store and we're also doing this with greater convenience by allowing you more choices of whether you want this delivered in 30 minutes, whether you want it delivered a bit later in the day. And so, for all those reasons, that's why you're seeing the cohort performance improve in new categories.

A - Ravi Inukonda {BIO 19011079 <GO>}

Hey, (inaudible), on the second question. Consumer engagement spending on the platform used to be very strong. You can see that in our strong Q1 results as well as the double-digit growth rate that we've driven consistently for the last two years in a row. I'm not going to comment on the month-to month, but it continues -- order frequency continues to be very good. In fact, it's an all-time high. Retention continues to be very strong in the business. Retention this past quarter is higher than the prior quarter. We feel very confident about the input metrics we are seeing in the business and I feel very good about the guidance for Q2.

Operator

Thank you. Your next question comes from Deepak Mathivanan from Wolfe Research. Please go ahead.

Q - Deepak Mathivanan {BIO 17464056 <GO>}

Great. Thanks for taking the questions. Tony, wanted to ask about your efforts on grocery verticals, it's still in early stages for you, but do you feel like you have the operating model sort of nailed down at this point and perhaps maybe talk about strategically what are the next steps in kind of scaling this huge opportunity?

And then second one, maybe for Ravi, it was nice to see the outperformance on EBITDA but Prabir has always talked about profitability being the output metric based on the level of investments that you could make. Were there any sort of like a strategic changes in your approach to investment areas in 1Q or thinking for 2023? Maybe touch on areas where you're seeing nice returns on investment areas currently as well? Thanks so much.

A - Tony Xu {BIO 20536033 <GO>}

Yeah, I'll start with the first question, which really was around grocery and the performance there. I mean, you're exactly right, I think both in terms of the numbers that we saw as the business collectively at the top and the bottom-line, I mean, you're seeing continued growth certainly in the core restaurants business, even faster growth in businesses like grocery and you're seeing improvements in the unit economics of all of our business lines altogether, including things happening overseas as well, and so I think that's really what's reflected in the performance of the quarter.

And specifically on grocery, while I think that we've made tremendous strides, we continue to grow faster than others and continue to gain share, I think there's still a long ways to go from the perspective of building the product. I mean if you look compared grocery penetration in terms of online delivery in the U.S. relative to, say, online delivery of restaurant food, I mean, it's substantially lower by multiples and I think that's because the offline experience is still superior to the online experience which means we have a long way to go to making sure that we can make the quality of the experience perfect, meaning, you get exactly what you order that you can get it from all the places that you want to look delivery from, and that the prices are affordable or what you would expect to pay in-store. And I think there's a long ways to go between where we are today and where we will be in the future, but I'm very, very proud of the progress that the team has made.

A - Ravi Inukonda {BIO 19011079 <GO>}

And Deepak, your second question, nothing has changed in terms of how we think about our investment philosophy. What you're seeing in Q1 is a combination of a few factors. Obviously, as you commented, we had GOV upside in the business which drove some of the EBITDA upside in the business. When I look at the various lines of business, our core restaurants business is growing even at a scale it's continuing to grow quite nicely, strong and stable growth for the last several quarters in a row. The profitability of that line of business is continuing to improve. Our investment areas both new verticals and international had a very strong first quarter. Growth has been strong, we continue to gain share in both areas as well as margins have improved both sequentially as well as annually.

Now if you combine that with the discipline we've had on our operating expenses, where OpEx was flat for the last three quarters in a row, that giving rise to some of the EBITDA upside that you're seeing in the business. That said, we are constantly looking to reinvest back into the business, but there is going to be times when there is not going to be any efficient investment and it's okay for us to have that drop to the bottom-line. In general, our philosophy is to continue to drive efficient growth while being disciplined with our investments, and one of the disciplined parameters that we use is the EBITDA guidance that we've given.

Operator

Thank you. Your next question comes from the line of Bernie McTernan of Needham and Company. Please go ahead.

Q - Bernie McTernan {BIO 19139802 <GO>}

Great, thank you. And it's a general question, how you guys are thinking about the opportunity for generative AI for DoorDash. AI has probably been integrated in the marketplace for quite some time, but any new opportunities that are being opened up?

And then second restaurant specific partnerships like the recently announced with Starbucks, how important are those for driving both GOV and contribution profit per order and just any way to frame the benefit there? Thank you.

A - Tony Xu {BIO 20536033 <GO>}

Sure. Bernie, maybe I can take both, it's Tony. On the first piece around generative AI, I mean certainly this is -- it's coming out moment, right, and I think it's super exciting both as a technologist as well as user of the product. But also in terms of just seeing how fast developers are candidly making changes every day. And so, I think for us, it's important to remind ourselves our purpose, our purpose is really to build the defining local commerce company which means that when you have two battles going on the battle for bids and digital attention in the battle for atoms, we very much are in the camp of the second category of making sure that we can win that battle. So very much the focus still remains to make sure that we are -- the highest quality last mile logistics network and making sure that that asset is the most useful and most attractive as we think about how it interfaces with digital assistance in the future.

But that said, we absolutely are ready running different experiments internally with some of the latest models that have been published when it comes to generative AI. I mean I think it has grades promise for achieving productivity gains in doing especially lot of manual work that we have to do when we try to digitize the physical world and build the catalog for every city. I think it has a lot of promise for making the consumer experience, shopping experience, a lot easier as well by reducing friction. So I think you should expect a lot of fun things to come in the future and we'll be a big part of that.

I think the second question really was around adding restaurant selection and especially with companies like Starbucks joining the platform. I mean certainly this has always been a big part of building our products, right. I mean, for us, it's always about improving selection and adding to what customers want, it's about certainly increasing the quality of the delivery experience, improving the affordability of our service as well as the customer support. And so selection has always been key to making sure that we can give customers what they want, bringing on Starbucks is something that we're super excited to do and we look forward to even more partnerships.

Operator

Thank you. Your next question comes from the line of Michael McGovern of Bank of America. Please go ahead.

Q - Michael McGovern {BIO 22700681 <GO>}

Hey guys. Thanks for taking my question. I had two. First was about -- I've noticed in the application a lot of types of advertising and promotion of the new service where you will pick up UPS and FedEx packages and deliver them for customers. So I was just wondering what the high level strategy is around that service because it seems to be differentiated from what your other services are, so a cool new future?

And then secondly, I noticed that there is a bit of a recent redesign and the layout of the interface on the application and I really like it because it seems to -- it's much more seamless in reordering things that you've ordered in the past. So I was wondering if that was kind of a focus with this recent redesign? Thanks.

A - Tony Xu {BIO 20536033 <GO>}

Hey, Michael, it's Tony. I'll take both of those questions. So on the first around package pickup and delivery, yeah, it's certainly something that we're very excited about, but I think at DoorDash, it's really important to again recognize what we're trying to do, what we're trying to do is to make sure that we can help any physical business grow and connect as many possible physical businesses with as many possible consumers. And it doesn't matter necessarily which direction, in which travel is occurring in terms of those connections. And so for us by having achieved for instance in the United States, the greatest order density, we just have a lot more flexibility in terms of the choice of problems that we can solve for a lot of these customers. And one of those problems that we have heard about was this notion of solving returns and some of these package orders that you're just -- you're kind of alluding to. And so it's certainly something that's very early stage like we run many new things that DoorDash all the time in the hope of solving increasingly higher customer expectations, this is one of them and we're excited about where things are right now. But there's a lot of these things happening always at DoorDash.

On the second question on some of the improvements with respect to reordering, we're always trying to reduce friction when it comes to the ordering experience. Certainly, reorders are very popular amongst -- in particular our most engaged cut and consumers, but there's a lot of things that we're trying to do to the app, we're trying to make it faster, we're trying to reduce the number of bugs, we're trying to make sure that you can find exactly what it is that you want, that you can discover new things that might be enticing. So there's a lot of things that we're trying to do to always improve the experience and it's always with the mission of reducing friction.

Operator

Thank you. Your next question comes from the line of Michael Morton of MoffetNathanson. Please go ahead.

Q - Michael Morton {BIO 19802956 <GO>}

Thank you. I had a quick question on advertising, I was wondering if you could speak to the adoption rate you're seeing, it sounds to us like SMBs are the early adopters and would love to hear some details about the larger QSRs and their interest in the advertising platform? And then just a last question if you'd be interested, any additional details maybe around bookings growth in new verticals or just to help us think about how that business is progressing? Thank you.

A - Tony Xu {BIO 20536033 <GO>}

Yeah, I'll start on the first question around ads and I'll let Ravi to take the second question. So with respect to advertising, I mean, you're right, we're off to a pre great start and it's a fast clip, especially given the high standards that we're trying to put out for ourselves, which is, on the one hand, we certainly have to meet the goals and create best-in-class return on ad spends where advertisers and merchants. And on the other hand, we also have to achieve the best possible consumer experience where there is little to no degradation in terms of what consumers expect to see. And this is hard to do because I think it's really important to remember that with any marketplace business and certainly any desire to build an business, the most important thing is the engagement of the marketplace.

And so this is something that I'm really proud that our teams have balanced extraordinarily well, even though they've kept pace with I think the demands of what we see from advertisers which is who want to run more ads and -- but we have to do that again in a very pro-consumer way we are -- and so we're seeing the demand on the advertising side from candidly every segment of merchants, whether -- and this goes for CPG companies in addition to the restaurants as well. So we're very excited that SMBs have found this to be a very capital efficient way to grow and effectively serve as their marketing department in some cases all the way to the largest brands in the world that you've heard out that have the biggest budgets in the world that are finding a very, very large incremental use case when they work with the largest local commerce platform.

A - Ravi Inukonda {BIO 19011079 <GO>}

And Michael, just to add to what Tony talked about into your specific question on the second one. Our ad business is growing, it's growing quite nicely, it's actually having an impact on our net revenue margin as well. And our view for what that business is going to be is included in our EBITDA guidance for the rest of the year.

Operator

Thank you. Your next question comes from the line of Mark Mahaney of Evercore. Please go ahead.

Q - Ian Peterson {BIO 22049659 <GO>}

Hi, guys. This is Ian Peterson on for Mark. It'd be great if you could just provide us an update on DashPass and any engagement trends you can share there both in the U.S. and also the subscription business in International as well with Wolt? Thanks.

A - Ravi Inukonda {BIO 19011079 <GO>}

Ian, thanks for the question. DashPass came up on another great quarter both in terms of finances as well as subscribers. One thing as you think about DashPass is anything that you want in your city, you could get it for $10 a month, whether it's pet food, whether it's retail, whether it's grocery, whether it's convenience and that's a very compelling value proposition for us. And what we're seeing is, as we are continuing to drive the overall product quality up as we're making the product more affordable, as we are driving the selection of, that's driving to more and more consumers graduate to DashPass and that's driving the strength in the business both domestically as well as internationally. We're very comfortable with the progress we've made and Q1 was a very strong quarter for DashPass for us.

Operator

Thank you. Your next question comes from the line of Andrew Boone of JMP Securities. Please go ahead.

Q - Andrew Boone {BIO 18466066 <GO>}

Hi, guys. Thanks for taking my question. I wanted to ask about Europe, it feels like you guys took share internationally. Can you talk about what you're seeing competitively and what's leading to greater traction? And then Ravi, I wanted to follow-up on an earlier answer that you gave about contribution margin improving, it sounds like you're now willing to drop more to the bottom line. Can you just talk about the pace of investments as it relates to new verticals. Is it just the new verticals maturing or are you guys slowing down on any initial growth initiatives that may be more loss making? Thanks so much.

A - Tony Xu {BIO 20536033 <GO>}

Yeah, I'll start with the first question which was around Europe and the competitive position. I think this is a great place to remind ourselves of a lot of the investment thesis we had behind teaming up with Wolts, who runs the majority of the markets outside of the U.S. for DoorDash. And really the first thesis was that when you have the highest retention and frequency of engagement that that is what will really allow the most capital efficient growth, especially in a category that has very, very long runways left and that's really what we've seen in terms of the execution of the Wolt business. I mean, even against difficult comps with omicron of Q1 of last year, you see Wolt growing tremendously quickly year-on year and certainly outpacing the rest of the class. And so I think that a lot of that again happens to do with the strength of the engagement of the consumer that Wolt has been able to build and it's a reflection of the product quality. And so especially as Wolts now introduces some of their newer products with Wolt plus, which is it's DashPass equivalent as well as some other products that it's borrowed from learning from the DoorDash U.S. business. I think we're only going to see more growth in the years to come.

A - Ravi Inukonda {BIO 19011079 <GO>}

And I think to your second question, when I think about the contribution margin improving. I think of it in terms of two dimensions. One is the core restaurant business that's growing, it's growing quite nicely as well as improving in terms of profitability. And when I look at the investment areas, when I think about the capital allocation, I look at it across two vectors; one is, does the product and investment have strong product market fit in terms of consumer demand as well as the second one is, are they progressing in terms of unit economics. What you're seeing in Q1 is both new verticals as well as international, they're growing, they're growing quite nicely, they're gaining share in both of the areas as well as the margins are improving both sequentially as well as annually.

Now, if you combine that with the fact especially on the new vertical side, we have a structural advantage where we have a network of consumers and dashers already built out, that's giving rise to some of the efficiency gains that you're seeing in the business, which is naturally translating into margin improvement. They put both of those businesses together, you have these businesses that are growing, they're growing nicely, the margins are improving as well as the core underlying fundamentals are improving, it has all the similarities of what we saw in the restaurants business very early on and we have strong conviction that if we continue to execute well, these two areas are going to be drivers of strong free cash flow generation for us.

A - Tony Xu {BIO 20536033 <GO>}

And put it a different way, we're not slowing down any investments. The businesses are just growing top and bottom-line and that's where you're seeing in terms of the flow-through towards the results.

Operator

Thank you. Your next question comes from the line of Brian Nowak of Morgan Stanley. Please go ahead.

Q - Brian Nowak {BIO 16819013 <GO>}

Great. Thanks for taking my questions. I've two. The first one, I wanted to ask about how you think about the runway for new user growth in the U.S. and sort of what type of user growth are you thinking about in the full year guide to grow new people to come into platform in the U.S. and how do you do that at this point given where we are in penetration?

And then the second one on Wolt. You've had the asset now for quite a while, it's been executing at a pretty high clip. Tony, what have been one or two of the biggest surprises to you about Wolt that maybe you didn't even appreciate when you acquired the assets?

A - Tony Xu {BIO 20536033 <GO>}

Sure, hey Brian. Yeah, I'll take both questions. On the first question about user adoption, I think sometimes it's just important to remember that it's no different in acquiring users versus getting users who may have tried the product or used the product more often which is we just have to improve the product. And so whether that means we didn't have the right selection to attract a customer in that moment or that occasion, the right pricing, the right speed and/or quality of delivery or we messed up on customer support. I mean those are the building blocks of how we win any customer and I think the fact that people eat 20 to 25 times a week is really frankly why I think there is such a large runway left for growth, it's not necessarily about can you serve all of the users and where are we on that journey, that's one part of it, but then you have to multiply that by 20, 25 times per week in that potential. And so that's at least how it works in my brain, and to me, it's the same of whether we want to go attract a new user or just win a new use-case or an incremental use-case of the 20 to 25 occasions per week that a customer is eating and we know that that happens all the time. So that's the first question.

On Wolts, which I believe is your second question. I mean I would say a few things that I've come to appreciate even further. I think first is really the durability to compete in a very capital efficient way has been I think just really, really interesting and unique. I mean I think sometimes especially now as DoorDash is generating more and more positive free cash flow, it's almost easy to forget when some of the constraints were even tighter and the budgets were a lot smaller, and I think it's been a really impressive to watch Wolts can do I think in that regard, and that's really a testament to the team and the ability to always focus on the product to make sure that we can keep increasing the retention and the frequency of the experience such that that's how we will actually outcompete and make good investments not just this year, but for years to come.

I think the second is more a comment around maybe the market which is, a lot of these European markets I think we maybe sometimes because we live in the U.S. or maybe we live in other countries where e-commerce has been a bit more at the forefront or just has had longer to adopt for users that a lot of these countries are just kind of having a lot of the physical stores come online for the first time and that's true certainly for restaurants but also outside of restaurants, and I think a lot of the fast growth that you're seeing by Wolt is their ability to serve all of the categories and then very much the same goal that DoorDash has to become the local commerce company, Wolt wants to do the same thing in all of its geographies. And so I think that's shared mission is really what allows us to work really well there.

A - Ravi Inukonda {BIO 19011079 <GO>}

And Brian just to the specific question on the guidance point and so we do expect to grow both users as well as order frequency and that's baked into our guidance that we've given.

Operator

Thank you. Your next question comes from the line of Youssef Squali of Truist Securities. Please go ahead.

Q - Youssef Squali {BIO 1506420 <GO>}

Great, thank you. I have two questions as well. So just on the guidance, Ravi, so again if I look at the GOV -- the total market GOV, it looks like at the midpoint the growth is in the low 20%s, if I look at the last nine months, last three quarters, it was really more like 29% or 30%. Is there anything related to maybe Wolt annualizing now that kind of causing that number to decline or is that just kind of lack of visibility potentially considering the macro et cetera, anything there could be -- would be really helpful?

And then I guess as you look at the free cash flow, so certainly your execution has been pretty, pretty impressive. How should we be thinking about chime in to hit positive free cash flow for the non-restaurant business on the back of just the stronger top line, has that timing kind of shortened? Thank you.

A - Ravi Inukonda {BIO 19011079 <GO>}

Yeah, Youssef, let me start with the first one. On the GOV itself, couple of points here. I mentioned earlier that consumer engagement continues to be strong. When I look at both retention as well as order frequency, I feel very optimistic about the signals that we're seeing in the business. That's what's giving us confidence to bump up the GOV guide for the rest of the year.

To your specific point on the growth rate comp itself, we do lap the Wolt acquisition in June. So you're seeing an impact of that in the second half of the year. In terms of your second question on free cash flow, in terms of when I look at the new verticals business in Q1, it had a very strong first quarter, both in terms of growth as well as improvements in margin. And underlying what we're seeing in the businesses as we're continuing to improve the quality, as we're continuing to make the product more affordable, that's driving not just top line growth but also we're seeing efficiency in the business and that efficiency is contributing to the improvement in margin. On the absolute dollar basis, we're not going to comment on it, but I feel good about the investment levels and that's included in our EBITDA guidance for the rest of the year.

Operator

Thank you. Your next question comes from the line of Ron Josey of Citi. Please go ahead.

Q - Ron Josey

Great. Thanks for taking the question. I have two. Tony, in the letter, you talked about double-digit improvements in grocery quality and efficiency metrics. Can you just help us understand what these improvements were to drive the improvements in overall quality and efficiency. Any insights would be would be helpful?

And then Ravi just a quick clarification on contribution margins. Last year, I think we saw convenience as a vertical become variable contribution positive. And so I'm wondering if other newer verticals are contributing here, given the structural advantage that you talked about or do you expect perhaps grocery or alcohol or others to start delivering at least variable contribution margins by the end of this year? Thank you.

A - Tony Xu {BIO 20536033 <GO>}

Yeah, hey, Ron. On the first question around the improvement in the product quality and grocery, a big part of this stems from the fact that today physical stores, grocery stores that don't always know exactly what's on their shelves and that's quite a hard problem to solve for a variety of reasons we can literally go on for hours to talk about all of the different reasons. But that's the problem that we've gotten better at in terms of making sure that we can get you exactly what you order. I'm not saying we're perfect, and I mentioned I think to an earlier question that we're still a long ways to go in terms of where I want to see this product experience, but I think we've made tremendous strides in the two years that we've been doing this and I think as a result of that, you're seeing increases in the cohort engagement that we talked about in the letter and that's showing therefore both basically a capital efficient way to grow because to me, the most -- the best way to achieve capital efficiency is through improvements in product quality, and I think that was a very nice one-to-one correlation that we saw -- and that really stem from many quarters of work that showed up in some of the results in this quarter.

A - Ravi Inukonda {BIO 19011079 <GO>}

And Ron to your second point, right, like just to add on to what Tony said, some of the quality improvements that we're driving in the business is also resulting in the efficiency gains. The third-party convenience that you talked about is variable cost is positive and it's continuing to improve. All categories within our new verticals, whether it's grocery, our DashMart business, third-party convenience are improving. We feel good about the progress and we talked about in the letter overall on a margin basis, our new verticals is improving both sequentially as well as annually.

Operator

Thank you. Your next question comes from the line of Rohit Kulkarni of ROTH MKM. Please go ahead.

Q - Rohit Kulkarni {BIO 18721974 <GO>}

Hey, thanks for taking my questions. One on AI, I know generative AI is on top of every investor's mind, but I guess just internally speaking, maybe talk about longer-term, how are you thinking about using AI to improve productivity of engineers, marketing salespeople. I think structurally, do you feel kind of DoorDash and all Silicon Valley companies are going to be much more profitable as they start to figure out applying AI to all the internal processes, maybe they become the first kind of AI adopters of these productivity tools?

And then second question is on just new vertical margins, it's been a couple of years since you have had these new verticals and it feels that we're struggling to pull ahead the overall margin profile. So maybe just structurally can you talk about the various puts and takes between the core restaurant most profitable business versus all the new verticals as you start kind of layering on the incremental profits from them. How we should think about the overall profitability steady state as such?

A - Tony Xu {BIO 20536033 <GO>}

Yeah, I'll take the first question and maybe Ravi can take the second. With respect to AI and its ability to change the trajectory of some of these functions that you asked about in the question. Look, I mean I think it's certainly represents the promise for a lot of productivity gains in terms of how those productivity gains will be expressed in terms of financial results for our company, I think that's very hard to estimate because on the one-hand, you're going to have the same number of people who can hopefully do more with what they have with now more advanced tooling. But then on the other hand, you have to not forget the customer, the customer's expectations are always going to go higher and higher and higher, take coding for instance, the number of engineers almost never seems to be enough in terms of what the demand for engineering talent is as well just frankly like the number of things to build. And so I think you're going to have kind of two forces competing for this, one is the productivity gains, which I certainly would expect to see, but then on the other hand, I also believe that customer expectations always go in one direction, which is higher and higher and higher. And so I think the balance of the two will be what all of us will be going through.

A - Ravi Inukonda {BIO 19011079 <GO>}

Hey, Rohit, on your second question on margins. The way it is and I think about it is, core restaurants business is growing as well as improving in terms of overall profitability, but we still are a small portion of the overall sales for the restaurant industry. So we continue to invest behind that business. So it's important that we continue to invest behind quality invest, behind making the product more affordable because that's going to drive long-term growth in that business.

Secondly, on new verticals what we're seeing is, some of the quality improvements that Tony touched on earlier in the previous question, that's driving efficiency in the business, that business as a whole is improving in terms of margin both sequentially as well as annually. But the market there is very large, we are still underpenetrated and I think if we continue to improve the overall product that's going to drive long-term free cash flow generation for us, it's a business that we're going to continue to invest in and continue to improve the product experience for our consumers, merchants as well as dashers.

Operator

Thank you. Your next question comes from the line of Eric Sheridan of Goldman Sachs. Please go ahead.

Q - Eric Sheridan {BIO 22465717 <GO>}

Thanks so much for taking the questions. Maybe two quick ones if I can squeeze in. First, when you look out over the landscape in 2023 and beyond, what do you continue to see as some of the key investments you need to make on the merchant side of your platform that will continue to drive more merchant growth, more merchant adoption and where you can gain deeper relationships and market share of the merchant side? That'd be number one.

And then number two, when you look further out, how should we be thinking about you making the app more shoppable for lack of a better term, we talked on the last call about increasing velocity and order volume among your user base and I'm just curious given all the direct traffic you have to app, how you think about overlaying all the SKU diversification you built on possibly driving greater levels of frequency and app across all of those SKUs? Thank you.

A - Tony Xu {BIO 20536033 <GO>}

Yeah, hey Eric, I'll take both of those questions. On the first question with respect to new merchants. I mean basically the short answer is that we're going to have to solve more and more of their problems in order to work more and more deeply with them with the goal of helping them improved same-store sales and profitability. And sometimes these things take swings, right, I mean, take for example we can span out a little bit. In the years of '21 and '22, particularly when consumers are roaring back inside stores, there was a big focus for merchants to make sure that they can staff up to meet that in-store demand and they needed to take maybe the gas pedal off of digital for a bit, you're starting to see some of this now swing back for instance as these merchants are lapping those years of in-store growth and they are now returning back into investing -- into their digital channels. So I think you're going to see these kinds of ebbs and flows, but I think all of this is really in the name of how do we build enough tools and products for merchants to better understand their customers, better engage with those customers, build long-term relationships with those customers, do it through the first-party channel whether that's been powered with products like DoorDash Drive in storefront or the third-party DoorDash platform in the marketplace.

And so I think there's a lot there that we're going to have to continue to do to just solve more and more problems because just like consumer expectations where merchant expectations grow too, and I think they're always going to be on this -- when you're a business owner, particularly if you're like my mom or a single-store owner, you're going to have 50 things you're thinking about. But at the end of the day, you're always thinking between growth and profitability and that dynamic.

Your second question is I think how do you make the app more shoppable. I think it's a phenomenal question, I mean I think it's to me, it's certainly the endeavor that we're marching on where we are becoming more and more of a multi category destination, I mean you see this early in the numbers and you see this I think even in the fact that we're now acquiring more new customers into the grocery and convenience sectors more than anyone else and -- for the first time. And so I think that is telling us that customers expect DoorDash to be able to deliver upon those experiences, whether they're coming in and trying to buy a baseball bat from Dick's Sporting Goods or trying to buy a pound of lettuce from a grocery store.

And so we're doing lots of things right now, we're improving the catalog, we're making sure that there is improvements to search, we're making sure that we can create an item based shopping experience. There's lots of things that we have to do in order to catalog digitally the physical world, and then present that catalog in concert with our merchants so that it makes sense to the consumers and that they can achieve the merchant goals too. I mean this is the delicate and very important responsibility that we have to make sure that DoorDash can work for everyone. And if it can work for everyone, then we believe the results will be something that we're proud of.

Operator

Thank you. Your next question comes from the line of Lloyd Walmsley of UBS. Please go ahead.

Q - Lloyd Walmsley {BIO 15125459 <GO>}

Thanks. Two questions on just some of the numbers, if I can. First, just if we look at sales and marketing and looks like growth there stepped-up a bit from 4Q to 1Q, wondering if that's kind of a newish normal? And then similarly we saw a nice step-up in gross profit margins. So wondering if that -- if we should be thinking about that as all new level or just continuing to expand there? Thanks.

A - Ravi Inukonda {BIO 19011079 <GO>}

Yeah, hey, Lloyd, I'll take the gross margin one first. In the last call, I mentioned that 2023 gross margin was going to be higher than Q4 levels, that's exactly what you're seeing in the business. A few factors at play here over the last year and a half, we've driven a number of improvements on the product side which has made our logistics engine more efficient and you're seeing that leverage come through in terms of dasher cost per order. Quality has been a key priority for us, and what you'll notice is that we continue to work on quality that's driving retention higher, we are seeing the benefit in terms of growth as well as lower credits and refunds costs. That combined with our ads business, which I mentioned earlier that's growing, that's also having an impact on our margin. That said, we don't operate or run the business to a specific margin target. Our goal is to invest flexibly across the P&L in order to be able to drive efficient growth.

To your second question on sales and marketing. Q1 was a strong quarter in terms of top line volume for us. And in order to support that volume, we had to acquire more dashers, that's the result of your dasher acquisition costs going up, which is driving sales and marketing higher. That said, I would not read too much into the volatility. If you take a look at over the course of the last year, we were doing a ton of leverage on sales and marketing, all from product improvements that we've made. I do expect there to be more leverage on the sales and marketing side and our view is included in our EBITDA guidance that we've given.

Operator

Thank you. Your last question comes from the line of John Colantuoni of Jefferies. Please go ahead.

Q - John Colantuoni {BIO 22107418 <GO>}

Great. Thanks for taking my questions. Curious to dig a little bit into DashPass member adoption of new verticals like grocery, retail and convenience and how that compares to non-members? And related to that, we know DashPass members order more once they become members and order more than non-members, but I'm curious to hear if you're able to provide any color on how these upticks in frequency vary across verticals. Do grocery or retail orders increase even more than restaurant orders after user becomes a member? Thanks.

A - Tony Xu {BIO 20536033 <GO>}

Hey, John, it's Tony. I'll try to answer your questions. I don't think we run the business that way in the sense that we're trying to necessarily steer a customer into one category or the other. Instead, what we were trying to do is we're trying to build the best-in-class experience for the niche category and then allow the customer to choose which one of those experiences make the most sense for them for that particular shopping occasion. And then DashPass to your point is something that we can stitch across to provide the greatest possible value because we're going to give you everything inside your city within that DashPass membership.

So I don't think that we're trying to necessarily steer people one way or the other. I think it's probably intuitive that prepared meal or something like restaurant food is going to have the highest frequency, but that makes sense because we eat 20 to 25 times a week, which is the highest possible shopping category that we have relative to other categories. But that said, I mentioned earlier or to an earlier question that we now are attracting more new customers into the industry outside of restaurants here than anyone else. And so people are now coming to DoorDash for the first time not shopping for restaurant food but also shopping for their grocery items, their liquor needs, their retail items et cetera and et cetera. So I think this is just one of those things where as long as we continue to build the best possible shopping experience within each category and then stitch it across the categories and then overlay that with the value of DashPass, we'll be in a good position.

Operator

Thank you. There are no further questions at this time. This concludes today's conference. You may now disconnect.